Identity, Norms, Fairness, and Labor-Market Allocation

Behavioral Labor – Week 6

Teaching deck draft

Central question

- How do identity, norms, fairness concerns, peer pressure, and firm culture shape who works where?
- Week 6 studies micro social objects in labor markets: roles, reference groups, teams, cultures, and supervisors.
- The labor margins are effort, morale, quits, promotion, pay satisfaction, applications, and worker-firm sorting.
- The discipline: name the social object, the margin, the reference group, and the identifying variation.

Bridge from Weeks 1–5

Earlier object	Week 6 shift
Behavioral taxonomy	Identity, norms, fairness, and culture become labor primitives
Nonstandard preferences	Social preferences and reference groups enter effort and job choice
Beliefs and attention	Workers form beliefs about what "people like me" do at work
Workplace contracts	Pay and monitoring are interpreted inside teams and firms

Week 5: contracts and supervision. Week 6: social meaning, micro norms, and allocation.

Why this is behavioral labor

Behavioral object	Labor margin	Empirical question
Identity	job choice, effort, promotion	does role fit move behavior?
Fairness	morale, effort, quits	who is the reference group?
Peer pressure	productivity, attendance	learning or social sanction?
Firm culture	applications, retention	sorting or treatment?
Manager norms	promotion, pay gaps	quality or transmission?

Boundary with institutions course

Week 6: micro norms and allocation	Institutions course: macro/political rules
teams, shifts, coworkers, supervisors	labor law and state capacity
fairness, comparison wages, morale	unions as political organizations
firm culture and job sorting	historical institutional change
manager transmission inside firms	macro cultural persistence
quits, effort, promotion, applications	political conflict over labor-market rules

If the norm works through workplace interaction or worker-firm sorting, it belongs here.

Identity and self-image at work

$$U_i(a, j) = u(w_j) - c_i(a) + I_i(a, j, N_j, C_j)$$

Object	Interpretation
a	effort, compliance, application, promotion effort, or staying
j	job, team, occupation, or firm
N_j	local social norms in the job or team
C_j	firm culture
$I_i(\cdot)$	identity utility and role fit

Identity as a labor allocation object

- Identity can change the perceived cost or benefit of a job role.
- It can substitute for incentives when workers internalize role expectations.
- It can make incentives less effective when contracts conflict with self-image.
- It can shape occupational entry, firm sorting, promotion aspirations, and retention.
- Empirical discipline: identity object, labor margin, relevant group, and standard alternative.

Fairness and pay comparisons

$$U_i = u(w_i) - c(e_i) - \phi_i \max\{0, w_i^{ref} - w_i\} - \psi_i \max\{0, w_i - w_i^{ref}\}$$

- w_i^{ref} can be a peer wage, team wage, occupation wage, or manager wage.
- Fairness can move effort, attendance, morale, quits, cooperation, and pay satisfaction.
- Pay transparency may change fairness, beliefs about promotion, and outside search.
- Identification must separate relative-pay utility from information about career prospects.

Peer pressure and coworker norms

$$U_i(e_i) = u(w_i) - c(e_i) - P_i(e_i, \bar{e}_{-i}, N_g)$$

Object	Interpretation
$\bar{e}_{-i}$	coworker effort or visible peer behavior
N_g	group norm
$P_i(\cdot)$	social penalties from deviating from coworker behavior
Mas–Moretti	peers at work and productivity response

Learning or pressure?

Channel	What changes?	Design clue
Peer learning	information about productivity or technique	effects persist after exposure
Peer pressure	social cost of deviating	stronger when effort is visible
Productivity spillover	coworkers directly affect output	mechanical task complementarity
Common shock	shared demand or manager condition	same shift or team shock
Sorting	worker types choose peers or teams	exposure is endogenous

Firm culture and job sorting

$$j_i^\star \in \arg\max_{j\in\mathcal{J}} \mathbb{E}[U_i(j; X_i, N_j, C_j)]$$

- Culture affects applications, acceptance, retention, match quality, and mobility.
- Firms communicate culture through job postings, recruiting, managers, and rewards.
- Workers sort on expected norms and role fit.
- Huang–Pacelli–Shi–Zou: culture communication in labor markets.

Sorting, treatment, and selection

Claim	What must move?	Main caution
Sorting	applicant or hire composition	culture text may reveal firm type
Treatment	incumbent behavior after exposure	workers may already fit culture
Retention	quits and tenure	exits change composition
Transmission	norms move through people	manager quality confounding
Equilibrium selection	worker and firm distributions shift	partial-equilibrium evidence

Managers and micro culture

$$C_{f,t+1} = \Gamma(C_{f,t}, M_{f,t}, H_{f,t}, R_{f,t})$$

- Managers are not only monitors or evaluators.
- They transmit norms about effort, flexibility, ambition, belonging, and promotion.
- Culture evolves with managers, hiring, and reward systems.
- Frontier design: manager rotation or assignment plus worker outcomes.

Empirical designs

Design	Object identified	Interpretation problem
Peer exposure field experiment	coworker norms and pressure	pressure versus learning
Pay-comparison experiment	fairness and reference wages	fairness versus career beliefs
Survey plus admin data	wage beliefs, morale, quits	stated beliefs versus behavior
Job-posting text design	culture communication	sorting versus firm type
Manager assignment design	norm transmission	manager quality versus culture

Week 6 lab

- Reproduce: synthetic peer-at-work factbook anchored on Mas–Moretti.
- Diagnose: norm or identity object, reference group, labor margin, identifying variation.
- Transfer: fairness and pay comparison anchored on Breza–Kaur–Shamdasani.
- Frontier extension: culture communication or manager-driven norm transmission.

Frontier directions

- Measuring culture with postings, reviews, communications, and manager histories.
- Pay transparency with rich morale, effort, quit, and promotion outcomes.
- Algorithmic teams and digital peer pressure.
- Manager rotation as cultural transmission, not only supervision.
- Linking micro culture to worker-firm reallocation and inequality.

Bridge to Week 7

- Week 6 names the social objects: identity, fairness, peer pressure, culture, manager norms.
- The next challenge is identification.
- Week 7 asks how to distinguish behavioral wedges from constraints, institutions, sorting, and measurement error.
- The recurring rule: object, margin, reference group, variation, interpretation.

Takeaways

- Identity and norms matter when they move labor allocation and workplace behavior.
- Fairness and pay comparisons require explicit reference groups.
- Peer pressure, peer learning, and productivity spillovers are different mechanisms.
- Firm culture affects sorting, retention, and match quality.
- Managers can transmit norms, but credible evidence must separate transmission from assignment and quality.